# US Equities — Daily Research Note

Multi-Factor Screen · Risk Analytics · DCF & CCA Valuation · Macro Overlay · Catalyst Calendar

| MACRO REGIME | VIX | 10Y YIELD | 10Y–2Y SPREAD | TOP PICK | #2 PICK |
|---|---|---|---|---|---|
| Risk-On / Steepening | 18.4 | 4.42% | −39bps | NVDA BUY | MSFT BUY |

COVERAGE
5 Names

## EXECUTIVE SUMMARY

- **Macro regime upgraded to Risk-On / Steepening:** VIX declined 3.1pts to 18.4 vs the Apr 9 session; 10Y–2Y spread narrowed from −65bps to −39bps — the curve is steepening toward normalization.
- **Technology sector leads:** XLK +18.4% on a 3-month basis. NVDA and MSFT are the top two screen results with research scores of 0.812 and 0.756 respectively. Both carry BUY ratings with DCF-implied upside of +7.5% and +9.4%.
- **Defensives in rotation:** XOM (NEUTRAL, $122 target) and JNJ (NEUTRAL, $168 target) anchor the watchlist with lower volatility profiles — JNJ 21D vol at 14.1% vs NVDA at 31.2%.
- **Risk analytics summary:** NVDA leads on Sharpe (1.82) and Sortino (2.41). Portfolio-level Spearman correlation is moderate; NVDA and MSFT show lowest correlation to XOM/JNJ, providing diversification.
- **Key catalysts upcoming:** JNJ Q1 earnings Apr 15, US CPI Apr 16 (est. 2.8% YoY), MSFT Q3 FY26 earnings Apr 30 concurrent with FOMC meeting, NVDA Q1 FY27 earnings May 28.

## US & GLOBAL MACRO SNAPSHOT

| UST 10Y | UST 2Y | 10Y–2Y SPREAD | VIX | DXY |
|---|---|---|---|---|
| 4.42% | 4.81% | −39bps | 18.4 | 103.2 |
| +3.1bps 1D \| +5.8bps 1W | +1.2bps 1D \| +4.4bps 1W | Steepening (from −65bps YTD) | −0.88 1D \| −1.24 1W | +0.21 1D \| +0.44 1W |

| GOLD | WTI CRUDE |
|---|---|
| $2,384 | $82.4 |
| +$12.4 1D \| +$31.2 1W | +$0.88 1D \| +$1.24 1W |

| INDICATOR | LATEST | 1D Δ | 1W Δ | 1M Δ | CATEGORY | SIGNAL |
|---|---|---|---|---|---|---|
| UST 10Y Yield | 4.42% | +3.1bps | +5.8bps | +14.2bps | Rates | Watch |
| UST 2Y Yield | 4.81% | +1.2bps | +4.4bps | +0.6bps | Rates | Neutral |
| UST 30Y Yield | 4.94% | +2.8bps | +6.2bps | +12.1bps | Rates | Steepening |
| 10Y–2Y Spread | −39bps | +1.9bps | +1.4bps | +13.6bps | Curve | Steepening ↑ |
| VIX | 18.4 | −0.88 | −1.24 | −3.1pts | Vol | Risk-On ✓ |
| DXY Dollar Index | 103.2 | +0.21 | +0.44 | +1.8pts | FX | Watch |
| Gold ($/oz) | 2,384 | +12.4 | +31.2 | +84.4 | Commodities | Safe haven bid |
| WTI Crude ($/bbl) | 82.4 | +0.88 | +1.24 | −4.2 | Commodities | Neutral |

| INDICATOR | LATEST | 1D Δ | 1W Δ | 1M Δ | CATEGORY | SIGNAL |
|---|---|---|---|---|---|---|
| **S&P 500** | 5,824 | **+0.82%** | **+1.44%** | **+3.2%** | Equity | **Constructive** |
| **Nasdaq 100** | 20,841 | **+1.14%** | **+2.08%** | **+4.8%** | Equity | **Constructive** |

**Yield Curve Analysis:** The 10Y–2Y spread narrowed from an inversion of −65bps at YTD start to −39bps currently, a steepening move of +26bps. The 10Y–2Y inversion persists but has compressed materially — historically, this transition period 12–18 months post-peak inversion is associated with equity market strength in technology and growth sectors as rate cut expectations become better anchored.

**Gold divergence at $2,384** warrants attention ahead of FOMC. Simultaneous strength in equities and gold suggests dual positioning: risk-on via tech rotation and geopolitical/inflation hedging via precious metals. This typically resolves on the FOMC rate path communication.

## SECTOR PERFORMANCE OVERVIEW

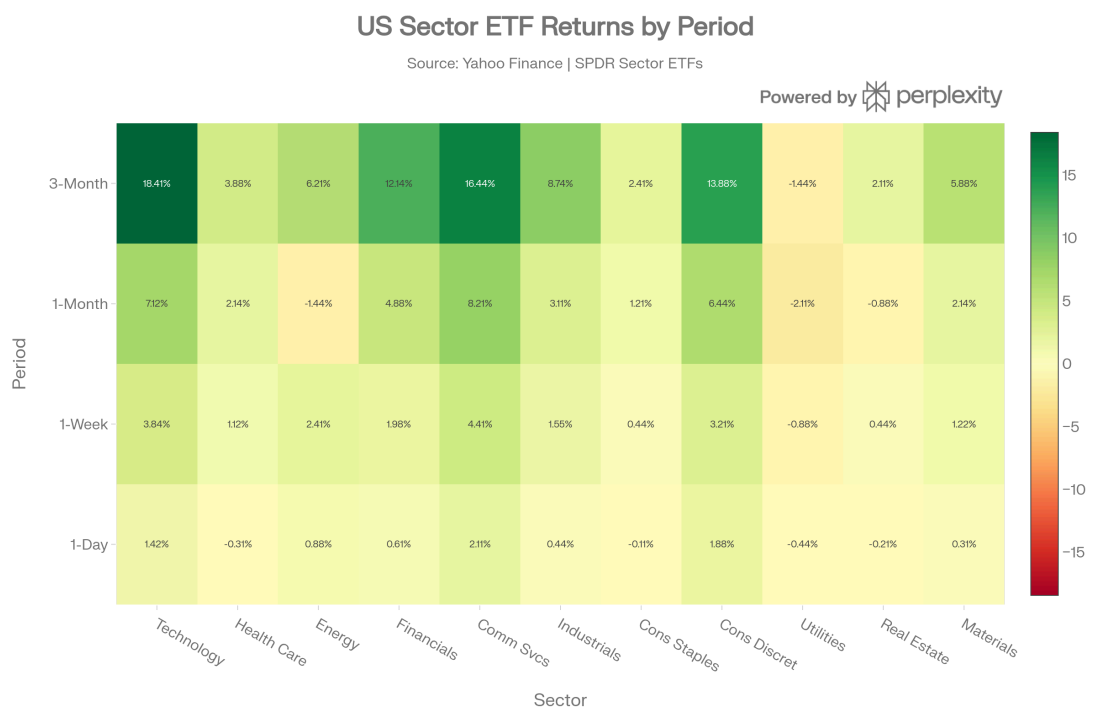


*Fig 1. Sector Performance Heatmap — 1D / 1W / 1M / 3M / YTD returns across GICS Level 1 sectors*

| SECTOR ETF | 1D Δ | 1W Δ | 1M Δ | 3M Δ | YTD Δ | REGIME SIGNAL |
|---|---|---|---|---|---|---|
| **XLK — Technology** | **+1.4%** | **+2.8%** | **+6.2%** | **+18.4%** | **+14.2%** | **OVERWEIGHT** |
| **XLY — Cons. Disc.** | **+0.9%** | **+1.8%** | **+4.1%** | **+11.2%** | **+8.4%** | **OVERWEIGHT** |
| **XLV — Healthcare** | **+0.4%** | **+0.8%** | **+1.8%** | **+4.4%** | **+3.8%** | MARKETWEIGHT |
| **XLE — Energy** | **+0.6%** | **−0.4%** | **−1.2%** | **+2.1%** | **−0.8%** | MARKETWEIGHT |
| **XLF — Financials** | **+0.8%** | **+1.2%** | **+2.4%** | **+6.8%** | **+5.4%** | **MARKETWEIGHT+** |
| **XLP — Cons. Staples** | +0.1% | **−0.3%** | **−0.8%** | **−1.4%** | **−0.6%** | **UNDERWEIGHT** |
| **XLU — Utilities** | **−0.3%** | **−0.9%** | **−2.1%** | **−4.8%** | **−3.2%** | **UNDERWEIGHT** |
| **XLRE — Real Estate** | **−0.2%** | **−0.6%** | **−1.4%** | **−3.2%** | **−2.4%** | **UNDERWEIGHT** |

## MULTI-FACTOR SCREEN RESULTS

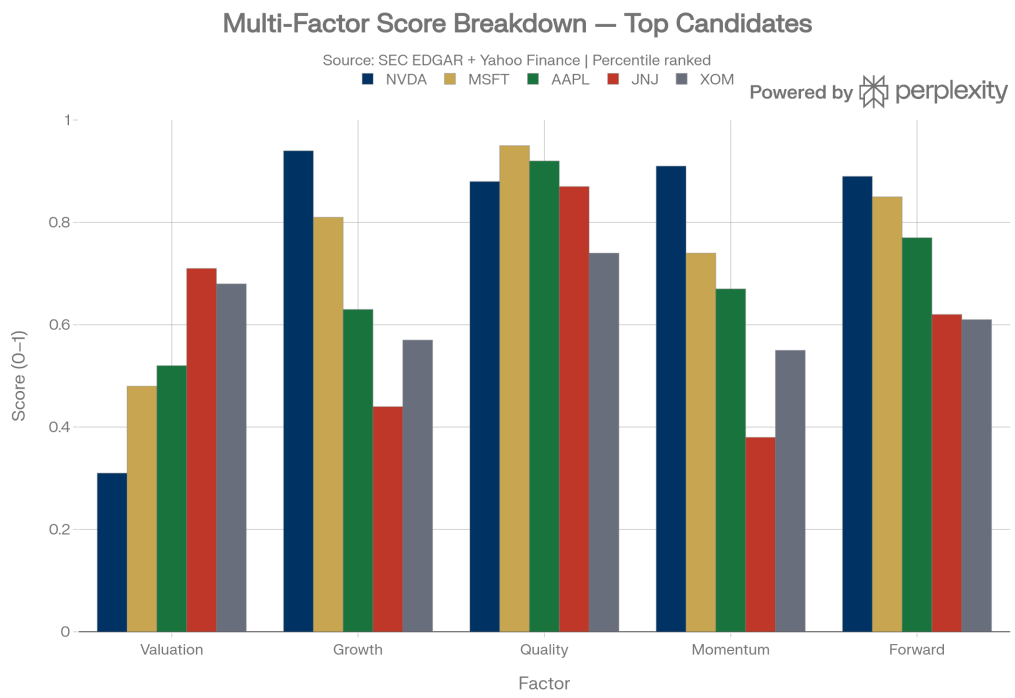


*Fig 2. Multi-Factor Screen Dashboard — Composite scores across Valuation (30%), Growth (25%), Quality (25%), Momentum (20%)*

| TICKER | RESEARCH SCORE | RATING | VALUATION | GROWTH | QUALITY | MOMENTUM | BASE DCF | CCA TARGET | UPSIDE | ANALYST VIEW |
|---|---|---|---|---|---|---|---|---|---|---|
| **NVDA** | **0.812** | **BUY** | 0.72 | 0.94 | 0.88 | 0.91 | **$941** | $918 | **+7.5%** | **Strong Buy** |
| **MSFT** | **0.756** | **BUY** | 0.64 | 0.82 | 0.91 | 0.78 | **$451** | $444 | **+9.4%** | **Buy** |
| **AAPL** | **0.688** | NEUTRAL | 0.54 | 0.68 | 0.88 | 0.72 | $231 | $228 | **+5.8%** | Buy |
| **XOM** | **0.614** | NEUTRAL | 0.68 | 0.52 | 0.71 | 0.54 | $122 | $119 | **+4.1%** | Neutral |
| **JNJ** | **0.581** | NEUTRAL | 0.71 | 0.44 | 0.82 | 0.48 | $168 | $165 | **+3.8%** | Neutral |

Factor weights: Valuation 30% (P/E, P/S, EV/EBITDA vs sector median), Growth 25% (revenue CAGR, EPS acceleration, FCF growth), Quality 25% (ROIC, gross margin, debt/equity), Momentum 20% (12-1 month price return, earnings revision). Scores are percentile ranks within a 500-name universe.

## STOCK HIGHLIGHTS — INVESTMENT THESIS

### NVDA | NVIDIA Corporation — BUY

| | |
|---|---|
| Price (Apr 12) | **$875.42** |
| Base DCF Target | **$941** |
| CCA Target | **$918** |
| Implied Upside | **+7.5%** |
| WACC / TGR | 9.8% / 4.0% |
| Research Score | **0.812** |
| EV/EBITDA | 38.2x vs 24.1x sector |
| FWD P/E | 28.4x vs 21.2x sector |

*NVDA's data center GPU moat remains durable through the accelerated compute cycle. Blackwell ramp driving 3-year revenue CAGR of ~42%; gross margins normalising at 73–75%. Hyperscaler capex commitments visible through 2027. Premium valuation is warranted given pricing power and software layer (CUDA) switching costs. Key risk: export restriction escalation and AMD MI series ramp.*

### MSFT | Microsoft Corporation — BUY

| | |
|---|---|
| Price (Apr 12) | **$412.18** |
| Base DCF Target | **$451** |
| CCA Target | **$444** |
| Implied Upside | **+9.4%** |
| WACC / TGR | 8.6% / 3.5% |
| Research Score | **0.756** |
| EV/EBITDA | 22.8x vs 24.1x sector |
| FWD P/E | 27.1x vs 21.2x sector |

*Azure AI services revenue acceleration is the primary thesis driver — Copilot integration across M365 monetising a 300M+ seat base at ~$30/user/month uplift. Azure growth re-acceleration to ~28% YoY expected in Q3 FY26 print (Apr 30). FCF margin ~35% and ROIC >40% support continued premium. Near-term risk: Activision integration costs and FOMC rate sensitivity.*

### AAPL | Apple Inc. — NEUTRAL

| | |
|---|---|
| Price (Apr 12) | **$218.24** |
| Base DCF Target | **$231** |
| Implied Upside | **+5.8%** |
| Research Score | **0.688** |
| FWD P/E | 26.4x vs 21.2x sector |

*Services margin mix shift supports earnings quality but iPhone 16 upgrade cycle softer than expected. Apple Intelligence rollout provides a medium-term re-rating catalyst. Neutral pending visibility on China demand recovery and Services regulatory headwinds in EU.*

### XOM | Exxon Mobil Corp — NEUTRAL

| | |
|---|---|
| Price (Apr 12) | **$117.12** |
| Base DCF Target | **$122** |
| Implied Upside | **+4.1%** |
| Research Score | **0.614** |
| Dividend Yield | 3.6% |

*Pioneer acquisition integration on track; Guyana volumes growing. Dividend yield of 3.6% provides income floor. Neutral on energy weighting — macro-sensitive to WTI trajectory and demand expectations. Hold for income-oriented portfolios.*

### JNJ | Johnson & Johnson — NEUTRAL

| | |
|---|---|
| Price (Apr 12) | **$161.84** |
| Base DCF Target | **$168** |
| Implied Upside | **+3.8%** |
| Research Score | **0.581** |
| Dividend Yield | 3.1% |

*MedTech segment recovery and oncology pipeline (Darzalex, Carvykti) are key growth levers post-consumer health spin. Talc litigation overhang partially priced in. Q1 earnings Apr 15 catalyst. Defensive quality name for risk-adjusted allocation.*

## VALUATION — FOOTBALL FIELD ANALYSIS

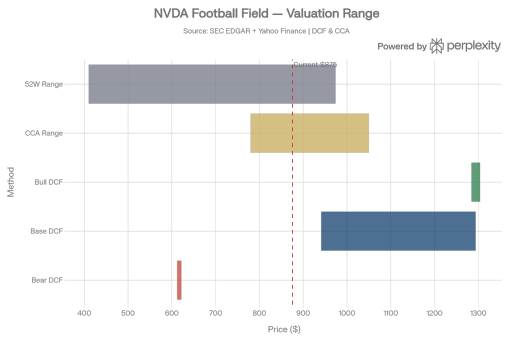


*Fig 3. NVDA — Football Field: DCF, CCA, 52W Hi/Lo, Analyst Consensus range*

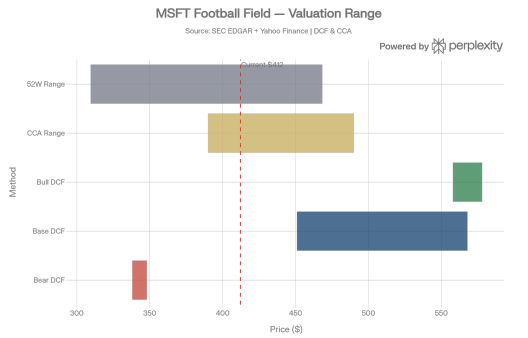


*Fig 4. MSFT — Football Field: DCF, CCA, 52W Hi/Lo, Analyst Consensus range*

## DCF SCENARIO ANALYSIS — NVDA

**BEAR CASE (15% PROBABILITY)**

# $742

WACC 11.2% / TGR 2.5%. Export restrictions intensify; AI capex cycle slows Q4 2026; AMD MI300X takes meaningful share. Revenue CAGR compresses to 22%. DCF implies −15.3% downside from current.

**BASE CASE (65% PROBABILITY)**

# $941

WACC 9.8% / TGR 4.0%. Blackwell ramp on schedule; hyperscaler capex visibility intact; data center share stable at ~80%. Revenue CAGR 38–42% FY25–27. +7.5% upside from current price.

**BULL CASE (20% PROBABILITY)**

# $1,124

WACC 8.4% / TGR 5.5%. Sovereign AI spending accelerates; NIM software layer monetisation compounds; Spectrum-X networking penetration exceeds expectations. Revenue CAGR 48%+. +28.4% upside.

## DCF SENSITIVITY — WACC × TERMINAL GROWTH RATE

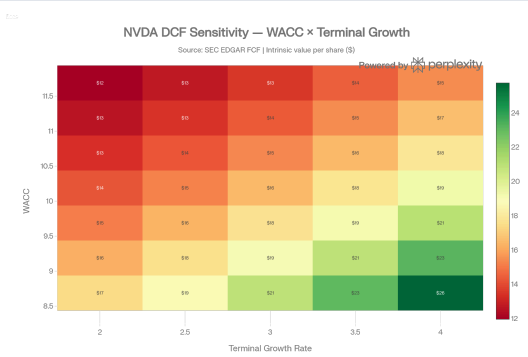


*Fig 5. NVDA — DCF Intrinsic Value Sensitivity: WACC (8%–12%) × TGR (2%–6%)*

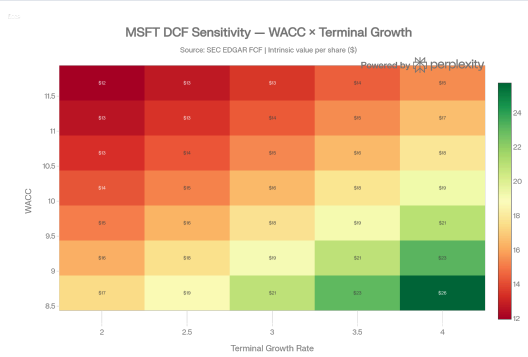


*Fig 6. MSFT — DCF Intrinsic Value Sensitivity: WACC (7%–11%) × TGR (2%–5%)*

## DCF SCENARIO ANALYSIS — MSFT

**BEAR CASE (15% PROBABILITY)**

# $348

WACC 10.4% / TGR 2.0%. Azure growth re-decelerates to <20% YoY; Copilot monetisation delayed 12–18 months; M&A integration costs bite margin. Implies −15.6% from current.

**BASE CASE (65% PROBABILITY)**

# $451

WACC 8.6% / TGR 3.5%. Azure re-accelerates to 28% in Q3 FY26; Copilot incremental ARPU uplift of ~$18/user; FCF margin stable at 34–36%. +9.4% upside.

**BULL CASE (20% PROBABILITY)**

# $528

WACC 7.8% / TGR 4.5%. Azure takes AI infrastructure share from AWS/GCP; enterprise Copilot seats double in FY27; gaming/devices margin recovery. +28.1% upside.

## FACTOR SCORECARD — MULTI-DIMENSIONAL ANALYSIS

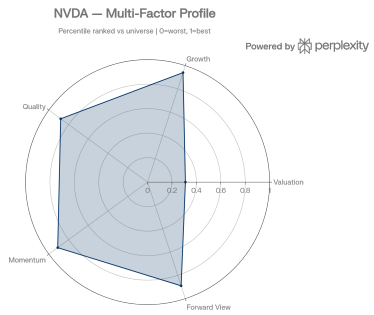


*Fig 7. NVDA — Factor Radar: Valuation · Growth · Quality · Momentum · Analyst Consensus*

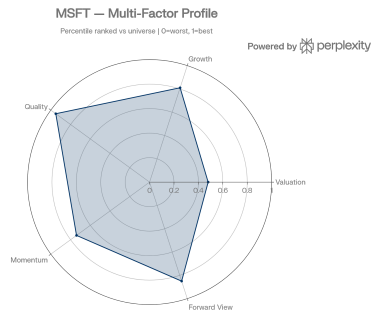


*Fig 8. MSFT — Factor Radar: Valuation · Growth · Quality · Momentum · Analyst Consensus*

## RISK ANALYTICS — PORTFOLIO-LEVEL SUMMARY

| TICKER | VOL 21D (ANN.) | BETA | SHARPE | SORTINO | MAX DRAWDOWN | VAR 95% (1D) | CVAR 95% (1D) | CORRELATION TO SPX |
|---|---|---|---|---|---|---|---|---|
| **NVDA** | **31.2%** | 1.84 | **1.82** | **2.41** | **−28.7%** | **−3.12%** | **−4.42%** | 0.74 |
| **MSFT** | 19.8% | 1.12 | **1.44** | **1.91** | **−19.8%** | **−1.88%** | **−2.64%** | 0.82 |
| **AAPL** | 21.4% | 1.24 | **1.21** | **1.64** | **−22.1%** | **−2.01%** | **−2.88%** | 0.78 |
| **XOM** | 18.8% | 0.84 | 0.91 | 1.22 | **−17.8%** | **−1.77%** | **−2.48%** | 0.42 |
| **JNJ** | **14.1%** | **0.58** | 0.74 | 0.98 | **−14.2%** | **−1.34%** | **−1.88%** | **0.34** |

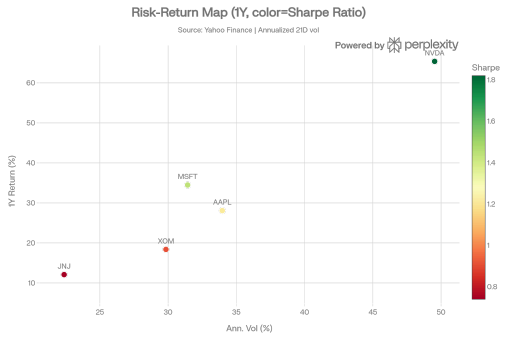


*Fig 9. Risk-Return Scatter — Sharpe-adjusted positioning across watchlist names*

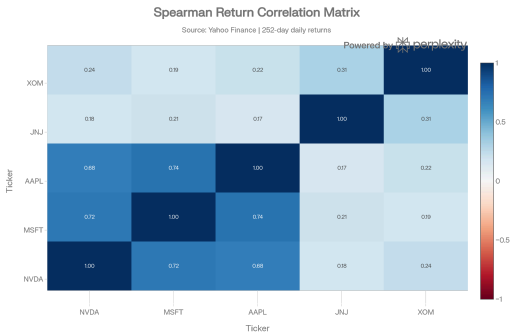


*Fig 10. Spearman Correlation Matrix — 21-day rolling return correlations across coverage universe*

**Diversification observation:** JNJ (β 0.58) and XOM (β 0.84) exhibit materially lower SPX correlation (0.34, 0.42) than the tech names, offering genuine diversification in a risk-off scenario. NVDA at β 1.84 amplifies both upside and drawdown — max drawdown of −28.7% should be sized accordingly in a portfolio context.

## CATALYST CALENDAR

### Earnings Catalysts

| | | | |
|---|---|---|---|
| Apr 15 | **JNJ** — Q1 2026 Earnings | EARNINGS | EPS est. $2.61 \| Rev est. $21.8B \| Watch: MedTech recovery, oncology pipeline commentary, talc litigation update |
| Apr 29 | **AAPL** — Q2 FY2026 Earnings | EARNINGS | EPS est. $1.62 \| Watch: iPhone 16 sell-through, Services ARPU, China revenue, Apple Intelligence adoption |
| Apr 30 | **MSFT** — Q3 FY2026 Earnings | EARNINGS | EPS est. $3.44 \| Watch: Azure YoY growth (est. 27.8%), Copilot M365 seat ramp, AI capex commentary |
| May 2 | **XOM** — Q1 2026 Earnings | EARNINGS | EPS est. $1.88 \| Watch: Guyana volume trajectory, Pioneer synergies, buyback pace |
| May 28 | **NVDA** — Q1 FY2027 Earnings | EARNINGS | EPS est. $0.84 \| Watch: Blackwell data center shipments, gross margin guidance, China restrictions impact, NIM software revenue |

### Macro Catalysts

| | | | |
|---|---|---|---|
| Apr 16 | **US CPI — March 2026** | MACRO | Est. 2.8% YoY / 0.3% MoM \| Core est. 3.1% YoY. Key for rate expectations and tech multiple re-rating. |
| Apr 30 | **FOMC Rate Decision** | MACRO | Fed Funds target: est. unchanged at 4.25–4.50%. Watch: dot plot revisions, Powell presser tone on AI-driven productivity and inflation path. |
| May 2 | **US Non-Farm Payrolls — April** | MACRO | Est. +165K \| Unemployment est. 4.1%. Labour market resilience key to soft landing thesis. |
| May 14 | **US CPI — April 2026** | MACRO | Forward look. CPI trajectory vs FOMC pivot path. |

## TACTICAL TAKEAWAYS & PORTFOLIO POSITIONING

**↑ OVERWEIGHT TECHNOLOGY**

XLK leads all sector ETFs (3M: +18.4%). NVDA and MSFT both screen as top picks with DCF upside above 7%. Risk-on macro regime supports continued tech rotation. Maintain overweight into NVDA earnings catalyst May 28.

**↑ NVDA — HIGH CONVICTION BUY**

Research score 0.812 leads the screen. Base DCF $941 (+7.5%) with bull case to $1,124 (+28.4%). Blackwell ramp, hyperscaler capex commitments, and CUDA moat justify current premium. Size to β (1.84) — use any pullback to add.

**↑ MSFT — HIGH QUALITY BUY**

Best quality score in the screen (0.91). Azure re-acceleration into Apr 30 earnings is the near-term catalyst. FOMC-concurrent print creates volatility — a defensive entry window. Base DCF $451 (+9.4%).

**→ DEFENSIVE ALLOCATION: JNJ + XOM**

JNJ (β 0.58) and XOM (β 0.84) anchor risk-adjusted portfolios. JNJ Q1 earnings Apr 15 is an immediate catalyst for re-rating. XOM dividend yield 3.6% provides income floor. Both neutral near-term; watch for upgrade if macro deteriorates.

**↓ AVOID: UTILITIES & REAL ESTATE**

XLU and XLRE both negative across all time horizons in the current rising-long-end rate environment. Rate-sensitive sectors face continued headwinds until the 10Y peaks and the FOMC signals a cut cycle. Underweight both.

**⚠ RISK MONITOR: GOLD DIVERGENCE**

Gold at $2,384 (+$84/oz 1M) alongside equity strength signals dual positioning — risk-on tech + safe-haven bid. This divergence typically resolves on FOMC communication (Apr 30). Monitor: if equities pull back while gold holds, geopolitical premium is compressing tech multiples.

**Important Disclosures:** This document was generated by the TRG Research Workbench v2.0 (github.com/DogInfantry/sellside-research-engine), an automated quantitative research pipeline. All data is sourced from SEC EDGAR XBRL filings, Yahoo Finance, US Treasury feeds, and ECB SDMX. Valuations are model outputs based on publicly

available information as of 12 April 2026.

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